



INTERIM FINANCIAL STATEMENTS

31 DECEMBER 2019



Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Three Months Ended 31 December

		Three Months Ended 31 December 2019 Unaudited	Three Months Ended 31 December 2018 Unaudited
	Note	Rs	Rs
Revenue		565,790,117	441,795,847
Gross written premium	3	527,342,766	389,414,098
Premium ceded to reinsurers	3	(37,591,194)	(12,654,002)
Net written premium		489,751,573	376,760,096
Other revenue			
Fee and commission income	3	6,733,072	5,986,286
Income from investments	5	67,096,903	42,924,502
Realise gain	3	-	13,823,318
Other income	3	2,208,570	2,301,646
Total other revenue		76,038,544	65,035,752
Net income		565,790,117	441,795,847
Net insurance benefits and claims paid		(96,530,073)	(70,834,929)
Net change in insurance claims outstanding		(4,242,349)	(1,200,445)
Underwriting and net acquisition costs		(164,276,498)	(144,502,873)
Change in contract liabilities - life fund		(135,589,129)	(72,921,714)
Other operating and administrative expenses		(45,529,773)	(78,432,760)
Net benefits and claims		(446,167,822)	(367,892,721)
Profit/(Loss) before tax		119,622,295	73,903,127
Income tax expense		-	-
Profit/(Loss) for the period		119,622,295	73,903,127

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Three Months Ended 31 December

	Three Months Ended 31 December 2019 Unaudited	Three Months Ended 31 December 2018 Unaudited
Notes	Rs	Rs
Profit / (Loss) for the year	119,622,295	73,903,127
Other comprehensive income		
Other comprehensive income to be reclassified to profit or loss in subsequent periods		
Net change in fair value of available-for-sale assets	(7,420,202)	(10,151,067)
Fair value movement of AFS reserve transferred to life fund	7,420,202	10,151,067
Other comprehensive income not to be reclassified to profit or loss in subsequent periods		
Re-measurement gain on defined benefit plan	-	-
Other comprehensive income	-	-
Total comprehensive income for the period	119,622,295	73,903,127

Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Twelve Months Ended 31 December

		Twelve Months Ended 31 December 2019 Unaudited Rs	Twelve Months Ended 31 December 2018 Audited Rs
	<u>Note</u>		
Revenue		1,857,736,099	1,582,745,361
Gross written premium	3	1,633,155,998	1,387,432,253
Premium ceded to reinsurers	3	(91,607,375)	(41,327,272)
Net written premium		1,541,548,623	1,346,104,981
Other revenue			
Fee and commission income	3	28,825,102	10,666,036
Income from investments	5	257,763,250	205,215,741
Realise gain	3	21,327,018	13,823,318
Other income	3	8,272,107	6,935,285
Total other revenue		316,187,476	236,640,380
Net income		1,857,736,099	1,582,745,361
Net insurance benefits and claims paid		(298,699,963)	(164,148,852)
Net change in insurance claims outstanding		(6,963,853)	(4,797,718)
Underwriting and net acquisition costs		(657,461,476)	(563,453,833)
Change in contract liabilities - life fund		(357,954,309)	(309,732,195)
Other operating and administrative expenses		(353,090,545)	(341,777,854)
Net benefits and claims		(1,674,170,146)	(1,383,910,452)
Profit/(Loss) before tax		183,565,953	198,834,909
Income tax expense		(51,474,683.72)	300,349,604
Profit/(Loss) for the period		132,091,270	499,184,513

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Twelve Months Ended 31 December

	Notes	Twelve Months Ended 31 December 2019 Unaudited Rs	Twelve Months Ended 31 December 2018 Unaudited Rs
Profit /(Loss) for the year		132,091,270	499,184,513
Other comprehensive income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets		15,088,972	9,319,796
Fair value movement of AFS reserve transferred to life fund		(15,088,972)	(9,319,796)
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain on defined benefit Plan		-	(63,679)
Other comprehensive income		-	(63,679)
Total comprehensive income for the period		132,091,270	499,120,834

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

Arpico Insurance PLC

STATEMENT OF FINANCIAL POSITION

As at 31 December 2019

	Notes	31-Dec-19 Unaudited Rs.	31-Dec-18 Audited Rs.
Assets			
Property, plant and equipment		60,142,521	63,045,746
Right of use asset	7	119,555,923	-
Intangible asset		675,531	303,750
Financial assets	8	2,376,948,901	2,028,265,792
Loans to life policy holders		286,270,410	228,616,921
Reinsurance receivable		61,683,434	26,939,303
Amounts due from related party		45,189,027	26,907,609
Premium receivable		69,528,421	73,071,532
Other assets		104,203,152	74,414,275
Deferred tax asset		252,953,701	304,428,385
Cash and cash equivalents		295,514,820	170,483,254
Total assets		3,672,665,841	2,996,476,567
Equity and liabilities			
Shareholders' equity			
Stated capital		675,564,870	675,564,870
Revenue reserves		888,844,257	756,752,988
Total shareholders' equity		1,564,409,127	1,432,317,858
Liabilities			
Insurance provision - life	9	1,698,912,679	1,325,869,400
Employee benefit obligation		12,428,370	9,488,251
Reinsurance creditors		99,050,679	50,022,714
Lease creditors		128,171,017	-
Amounts due to related party	11	7,203,351	7,184,537
Financial liabilities		120,672,112	115,608,712
Other liabilities		41,818,506	55,985,095
Total liabilities		2,108,256,714	1,564,158,709
Total liabilities and shareholders' equity		3,672,665,841	2,996,476,567

These financial statements are prepared in compliance with the requirements of the companies Act No. 07 of 2007.

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DGM -Finance & Operations
(Melanga A Doolwala)

The board of directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.

.....
Director
(Viville Perera)

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Director
(Shiron Gooneratne)

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

25/02/2020
Colombo

Arpico Insurance PLC

STATEMENT OF CASH FLOW

For the Twelve Months Ended 31 December

	Notes	2019 Rs.	2018 Rs.
Operating activities			
Receipts from policyholders		1,636,699,109	1,420,136,133
Payment to reinsurer		(42,579,411)	(22,163,574)
Claims paid		(349,953,614)	(187,608,303)
Reinsurance receipts in respect of claims		42,579,411	22,232,576
Other operating cash payments		(785,422,742)	(685,632,217)
Cash inflow from operating activities		501,322,753	546,964,615
Tax paid		(6,628,986)	10,042,573
Net cash flows from operating activities		494,693,766	557,007,188
Investing activities			
Purchase of property and equipment		(20,409,093)	(26,016,827)
Purchase of intangible asset		(570,000)	-
Disposal of property plant and equipment		-	-
Net drawdown of investments		(348,683,106)	(681,283,636)
Net cash flows used in investing activities		(369,662,199)	(707,300,463)
Financing activities			
Proceeds from share issue		-	-
Stamp duty on share allotment		-	-
Dividend payment		-	-
Net cash flows used in financing activities		-	-
Net (decrease)/increase in cash and cash equivalents		125,031,567	(150,002,517)
Cash and cash equivalents at 1 January		170,483,254	320,778,531
Cash and cash equivalents at 31 December		295,514,821	170,776,015
Analysis of cash and cash equivalents			
Favourable balances			
Cash at hand		510,190	426,875
Cash at bank		295,004,630	170,347,140
Short term investments		-	-
		295,514,821	170,774,014
Unfavourable balances			
Bank overdrafts		-	-
Total cash and cash equivalents		295,514,821	170,774,014

Arpico Insurance PLC

STATEMENT OF CHANGES IN EQUITY

For the Twelve Months Ended 31 December

	Stated Capital	AFS reserve	Revenue Reserve	Total
	Rs.	Rs.	Rs.	Rs.
Audited balance as at 31st December 2017	675,564,870	-	257,632,154	933,197,024
Issue of share capital	-	-	-	-
Share issue expenses	-	-	-	-
Dividend declared	-	-	-	-
Other comprehensive income	-	-	(63,679)	(63,679)
Net profit for the period	-	-	499,184,513	499,184,513
Audited balance as at 31 December 2018	675,564,870	-	756,752,988	1,432,317,858
Issue of share capital	-	-	-	-
Other comprehensive income	-	-	-	-
Net profit for the period	-	-	183,565,953	183,565,953
Dividend declared	-	-	-	-
Unaudited balance as at 31 December 2019	675,564,870	-	940,318,941	1,615,883,811

1. Figures in the these condensed interim financial statements for the period ended 31st December 2019 are provisional and unaudited.
2. The condensed interim financial statements have been prepared in accordance with Sri Lanka Accounting and Auditing Standards, which requires compliance with Sri Lanka Accounting Standards promulgated by the Institute of Chartered Accountants of Sri Lanka (CA-Sri Lanka) and comply with the requirements of the Companies Act, No. 7 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000 and the listing rules of the Colombo Stock Exchange. The same accounting policies and methods of computation as stated in the audited financial statements - 2018 have been followed in preparation of these condensed interim financial statements. Comparative information have been re-valued/re-classified where necessary, to conform to the current period recognition, measurement and presentations.

		Twelve Months Ended 31 December Unaudited 2019 Rs	Twelve Months Ended 31 December Unaudited 2018 Rs	Three Months Ended 31 December Unaudited 2019 Rs	Three Months Ended 31 December Unaudited 2018 Rs
3. REVENUE					
	Notes				
Gross written premium	4(a)	1,633,155,998	1,387,432,253	527,342,766	389,414,098
Premium ceded to reinsurers	4(b)	(91,607,375)	(41,327,272)	(37,591,194)	(12,654,002)
Net written premium		1,541,548,623	1,346,104,981	489,751,573	376,760,096
Fees and commission income		28,825,102	10,666,036	6,733,072	5,986,286
Investment income		257,763,250	205,215,741	67,096,903	42,924,502
Other operating revenue		8,272,107	6,935,285	2,208,570	2,301,646
Realise gain		21,327,018	13,823,318	-	13,823,318
Total revenue		1,857,736,099	1,582,745,361	565,790,117	441,795,847
4. NET WRITTEN PREMIUMS					
4(a) Gross premiums on insurance contracts					
		Twelve Months Ended 31 December Unaudited 2019 Rs	Twelve Months Ended 31 December Unaudited 2018 Rs	Three Months Ended 31 December Unaudited 2019 Rs	Three Months Ended 31 December Unaudited 2018 Rs
Conventional policies		1,633,155,998	1,387,432,253	527,342,766	389,414,098
Total gross written premiums		1,633,155,998	1,387,432,253	527,342,766	389,414,098
4 (b). Premiums ceded to reinsurers on insurance contracts					
		Twelve Months Ended 31 December Unaudited 2019 Rs	Twelve Months Ended 31 December Unaudited 2018 Rs	Three Months Ended 31 December Unaudited 2019 Rs	Three Months Ended 31 December Unaudited 2018 Rs
Conventional policies		(91,607,375)	(41,327,272)	(37,591,194)	(12,654,002)
Total premiums ceded to reinsurers		(91,607,375)	(41,327,272)	(37,591,194)	(12,654,002)
Total net written premiums		1,541,548,623	1,346,104,981	489,751,573	376,760,096
5. INVESTMENT INCOME					
		Twelve Months Ended 31 December Unaudited 2019 Rs	Twelve Months Ended 31 December Unaudited 2018 Rs	Three Months Ended 31 December Unaudited 2019 Rs	Three Months Ended 31 December Unaudited 2018 Rs
Available-for-sale financial assets					
Interest income		58,575,161	62,528,313	18,157,106	12,986,027
Loans and receivables interest income		199,188,088	127,000,734	48,939,797	29,938,475
Total investment income		257,763,250	189,529,047	67,096,903	42,924,502

6. EARNINGS /(LOSS) PER SHARE

Basic earnings per share amounts is calculated by dividing the net profit/ loss for the year attributable to ordinary shareholders of the parent by the weighted average number of ordinary shares outstanding at the reporting date.

	Twelve Months Ended 31 December Unaudited 2019 Rs	Twelve Months Ended 31 December Unaudited 2018 Rs	Three Months Ended 31 December Unaudited 2019 Rs	Three Months Ended 31 December Unaudited 2018 Rs
Profit /(Loss) for the year	132,091,270	122,092,840	119,622,295	73,903,127
Weighted average number of ordinary shares (Nos)	67,556,487	66,230,407	67,556,487	67,556,487
Basic earnings / (loss) per ordinary share Rs	1.96	1.84	1.77	1.09

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of completion of these financial statements.

7. Initial Application of SLFRS 16 - Leases

SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases. This introduces a single, on-balance sheet lease accounting model for lessees. The standard removes the current distinction between operating and financing leases and requires recognition of an asset and a financial liability to pay rentals for virtually all lease contracts. An optional exemption exists for short term and low-value leases. Lessor accounting remains similar to the current standard. Lessee will be required to separately recognize the interest expense on the lease liability and depreciation expense on the right-of-use asset.

The company as a lessee has applied SLFRS 16 as initial application of 01st January 2019 using the modified retrospective approach at the present value of the remaining lease payments discounted using the incremental borrowing rate, on the lease-by-lease basis and therefore the comparative information has not been restated and continuous to be reported under LKAS 17 at the present value of the remaining lease payments discounted using the incremental borrowing rate, on the lease-by-lease basis.

	31-Dec-19 Unaudited Rs	31-Dec-18 Audited Rs
7.1 Right of use lease asset		
Opening right of use lease asset as at 01st January	137,413,781	-
Additions of right of use lease asset during the period	30,260,761	-
Net depreciation for the period	(61,291,107)	-
Rent payable		
Advance payment for leases	13,172,489	-
Closing right of use lease asset as at 31st December	119,555,923	-
7.2 Amount recognised in statement of profit or loss		
Lease depreciation	(48,007,879)	-
Amortization of advance	(13,283,228)	-
	(61,291,107)	-
7.3 Lease liability (lease creditor)		
Opening lease creditor as at 01st January	123,998,064	-
Additions during the period	33,354,129	-
Finance cost recognised in profit and loss	19,120,819	-
Lease payments	(48,301,994)	-
Closing lease creditors as at 31st December	128,171,017	-

8. FINANCIAL ASSETS

The Company's financial instruments are summarised by categories as follows:

	31-Dec-19 Unaudited Rs	31-Dec-18 Audited Rs
Loans and receivables	2,045,369,823	1,507,403,917
Available-for-sale financial assets	331,579,078	520,859,875
Total financial instruments	2,376,948,901	2,028,263,792

The following table consists of the fair values of the financial investments together with their carrying values.

	31-Dec-19 Carrying value Unaudited Rs	31-Dec-19 Fair value Unaudited Rs	31-Dec-18 Carrying value Audited Rs	31-Dec-18 Fair value Audited Rs
Loans and receivables 8 (a).	2,045,369,823	2,045,369,823	1,507,403,917	1,507,403,917
Available-for-sale financial assets 8 (b).	331,579,078	331,579,078	520,861,875	520,861,875
Total financial instruments	2,376,948,901	2,376,948,901	2,028,265,792	2,028,265,792
8 (a). Loans and receivables			31-Dec-19 Unaudited Rs	31-Dec-18 Audited Rs
Investment in corporate debt			841,836,533	754,152,042
Investment in fixed deposit			415,254,886	342,069,407
Investment in repos			828,278,405	397,985,002
Investment in commercial papers			(0)	53,197,466
			2,085,369,823	1,547,403,917
Provision for impairment			(40,000,000)	(40,000,000)
			2,045,369,823	1,507,403,917
8 (b). Available for sale financial assets			31-Dec-19 Unaudited Rs	31-Dec-18 Audited Rs
Investments in government securities			331,579,078	520,861,875
			331,579,078	520,861,875

9. INSURANCE CONTRACT LIABILITIES		31-Dec-19 Unaudited Rs	31-Dec-18 Audited Rs
Balance as at beginning		1,325,869,400	1,025,457,000
Change in contract liabilities life fund			
Increase in life insurance fund before surplus transfer	9 (a)	457,954,309	442,808,983
Surplus transferred from share holders		(100,000,000)	(133,076,787)
Increase in life insurance fund		357,954,309	309,732,196
Movement in AFS reserve transferred to life fund		15,088,972	(9,319,796)
Balance as at end of the period		<u>1,698,912,681</u>	<u>1,325,869,400</u>

9 (a) Increase in life insurance fund before surplus transfer

	2019 December (Unaudited)		
	Gross Insurance Contract Liabilities Rs	Reinsurance on Insurance contract liabilities Rs	Net Insurance Contract Liabilities Rs
Premiums received	1,633,155,998	(91,607,375)	1,541,548,623
Liabilities paid for death, benefits and claims	(382,987,358)	77,323,542	(305,663,816)
Underwriting and net acquisition costs	(657,461,476)	-	(657,461,476)
Fees (deducted)/received	37,016,160	-	37,016,160
Investment return	174,267,345	-	174,267,345
Realise gain	21,327,018	-	21,327,018
Other operating and administrative expenses	(353,079,544)	-	(353,079,544)
As at 31 December 2019	<u>472,238,141</u>	<u>(14,283,832)</u>	<u>457,954,309</u>

	2018 December (Audited)		
	Gross Insurance Contract Liabilities Rs	Reinsurance on insurance contract liabilities Rs	Net Insurance Contract Liabilities Rs
Premiums received	1,387,432,252	(41,327,272)	1,346,104,980
Liabilities paid for death, benefits and claims	(197,416,375)	28,469,805	(168,946,570)
Underwriting and net acquisition costs	(563,453,833)	-	(563,453,833)
Fees (deducted)/received	33,288,015	-	33,288,015
Investment return	123,832,604	-	123,832,604
Realise gain	13,823,318	-	13,823,318
Other operating and administrative expenses	(341,839,533)	-	(341,839,533)
As at 31 December 2018	<u>455,666,447</u>	<u>(12,857,467)</u>	<u>442,808,983</u>

INSURANCE CONTRACT LIABILITIES - LIFE

The valuation of the Insurance Contract Liabilities have been carried out by the consultant actuaries for the year ended 31st December 2018 and based on that adequate provisions have been made in these Condensed Consolidated Interim Financial Statements.

Liability Adequacy Test (LAT)

The Company carried out a Liability Adequacy Test (LAT) for the period ended 31 st December, 2018 in respect of Life Insurance Contract Liabilities (Insurance Provisions) as required by SLFRS 4 - Insurance Contracts with the assistance of an Independent Consultatant M/S Acturial Partners. Based on that valuation, the recorded liabilities are adequate to meet future obligations arising from Life Insurance Contracts in light of estimated future cash flows.

Arpico Insurance PLC

Notes to Interim Financial Statements

10. TAXATION AND DEFERRED TAX

Arpico Insurance PLC is liable for income tax at 28% (2018 -28%)

The taxation basis of life insurance business changed from 01 April 2018 with the coming into effect of the Inland Revenue Act No. 24 of 2017 where a surplus based taxation basis is adopted replacing what was commonly known as "I-E" basis of taxation. However, the profits of Life Shareholders' fund will be taxed along a basis of "I-E".

Deferred taxation is provided using the liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the tax base of assets and liabilities, which is the amount attributed to those assets and liabilities for tax purposes. The amount of deferred tax provided is based on the expected manner of realization or settlement of the carrying amount substantively enacted by the reporting date.

Deferred tax assets, including those related to temporary tax effects of income tax losses and credits available to be carried forward, are recognized only to the extent that it is probable that future taxable profits will be available against which the asset can be fully utilized. Deferred tax assets, if any, are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

Accordingly the company made an assessment of future taxable profits and identified that total tax losses can be claimed within the prescribed period of the new Act. Accordingly a deferred tax asset has been recognized amounting to Rs. 252 Mn.

11. AMOUNTS DUE TO RELATED PARTY

Related Party	Relationship	31-Dec-19 Unaudited Rs	31-Dec-18 Audited Rs
Richard Pieris Distributors Limited	Affiliate	4,378,458	4,768,637
Arpitech (Pvt) Ltd	Affiliate	369,173	467,980
Arpico Interiors (Pvt) Ltd	Affiliate	2,015,019	701,109
Richard Pieris Finance Ltd	Affiliate	-	1,246,811
RPC Logistics (Pvt) Ltd	Affiliate	440,700	-
		7,203,351	7,184,537

12. CONTINGENT LIABILITIES

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 31st December 2019, end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

13. EVENTS OCCURRING AFTER THE REPORTING DATE

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interim financial statements.

Arpico Insurance PLC

Notes to Interim Financial Statements

For the Twelve months Ended 31 December

Share Information

Top 20 Shareholders

Name of the Shareholder	As at 31st December 2019	
	<u>Shareholding</u>	<u>% on Issued Shares</u>
1 KEGALLE PLANTATIONS PLC	26,685,001	40.29
2 RICHARD PIERIS DISTRIBUTORS LIMITED	17,790,001	26.86
3 RICHARD PIERIS AND CO PLC	15,125,001	22.84
4 MR.J.P.PAUL	1,734,633	2.62
5 MR.C.S.N.SILVAPULLE	668,399	1.01
6 MR.S.SIVASHANTH	479,415	0.72
7 MR.H.V.SENAWEERA	440,053	0.66
8 MRS.M.P.B. FERNANDO	425,000	0.64
9 MR.A.P.ARUMUGAMPILLAI	200,000	0.30
10 MR.B.A.R.DISSANAYAKE	200,000	0.30
11 MRS.M.S.E.V.E.A.U. VON STUMM	150,000	0.23
12 MERCHANT BANK OF SRI LANKA & FINANCE PLC/S	150,000	0.23
13 PEOPLES LEASING & FINANCE PLC/MR.K.J.GAMAGE	150,000	0.23
14 MR.M.L.A.BENEDICT	120,530	0.18
15 MR.T.A.N.GOMIS	120,143	0.18
16 MR.S.A.OBEYESEKERE	103,300	0.16
17 FLYBRUNEI SDN BHD	99,700	0.15
18 MR.F.N.HERFT	95,584	0.14
19 MR.P.B.PERERA	88,544	0.13
20 PEOPLES LEASING & FINANCE PLC/MR.K.	79,459	0.12
	<u>64,904,763</u>	<u>97.99</u>

Public shareholding

	As at 31st December 2019	
	<u>No. of Shares</u>	<u>% on Issued Shares</u>
Number of shares	<u>6,630,404</u>	<u>10.01</u>
Float adjusted market capitalization		127,303,757
	<u>No. of Shares</u>	<u>% on Issued Shares</u>
	<u>613</u>	<u>99.19</u>

Directors' shareholdings

There is no share holding by the directors as at 31st December 2019

Number of Shares

No. of shares representing the stated capital	66,230,407
Class of share	Ordinary
Voting rights	One vote per Ordinary Share

Share performance

Net asset value per share as at 31st December 2019	23.6
Highest price per share for the interim period	20.8
Lowest price per share for the interim period	18.6
Last traded price per share as at 31st December 2019	19.2